AML refers to the procedures, laws, and regulations designed to stop the practice of generating income through illegal actions. AML is closely linked to KYC. Definition: Money laundering is the process by which criminals disguise the illegal origins of their funds and assets ("dirty money") to make them appear legitimate or "clean." Three Stages of Money Laundering: Placement: The initial entry of illicit funds into the financial system (e.g., small cash deposits). Layering: Separating the illegal proceeds from their source through complex financial transactions (e.g., wire transfers, creating shell companies). Integration: The funds are integrated back into the economy, now appearing legitimate and available for use (e.g., purchasing assets). Compliance Program Requirements: Financial institutions are required to develop and implement effective AML programs that include: Training for employees. Customer Due Diligence (CDD). Monitoring and reporting of Suspicious Activity/Transaction Reports (SAR/STR) to relevant authorities.